

woman would have sold at some point in the bear market, and she would have less wealth today because of it.

Effective investing involves having realistic expectations about market volatility and then coupling those expectations with an understanding of your tolerance for risk. If you assume too much risk in a portfolio, there is a high probability that you will abandon your investment strategy during severe market downturns. In contrast, investors who have taken the stress test and are emotionally prepared for the risk they have elected will be able to maintain their allocation during all market conditions. Discipline in maintaining strategy is an essential element of investment success.

REBALANCING FINANCIAL RISK

Portfolio rebalancing is a fundamental part of asset allocation. Rebalancing reduces portfolio risk and creates a diversification benefit in the form of a higher long-term return.

There are many methods of rebalancing although they all do the same thing. A portfolio's fixed target allocation is compared to its current allocation, and a rebalancing occurs when the asset classes are off target by a predefined percent.

The most common type of rebalancing works on a regular time interval, such as monthly, quarterly, or annually. Another method is based on percentage bands around asset classes. Other strategies for rebalancing are available and can become quite complex. They involve a sophisticated mix of differential percentages and time elements that take a long time to implement and involve more trading costs.

I recommend that individual investors avoid sophisticated rebalancing strategies. For simplicity, annual rebalancing is practical and the one used throughout this book. Annual rebalancing captures most of the diversification benefit that other options provide without having you spend a lot of time or money on the process.

There are other situations in which your portfolio will be rebalanced using cash. When money is added to a portfolio, this is an ideal time to check the asset allocation and invest the additional cash where it is needed. If you are taking withdrawals from your portfolio, this creates another opportunity to rebalance. You could also have interest and dividends from investment flow into a money market fund rather than being automatically